CATL (300750.SZ)

Key takeaways from the WESC: Energy storage enters its infrastructure era

300750.SZ	12m Price Target: **Rmb559.00**	Price: **Rmb259.08**	Upside: **115.8%**
3750.HK	12m Price Target: **HK$859.00**	Price: **HK$411.80**	Upside: **108.6%**

BUY (CL)

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We attended the World Energy Storage Conference (WESC) in Ningde on 14–16 October 2026. The event brought together industry experts, company executives and policymakers at a time when the investor debate has shifted from deployment volume to a more fundamental question: whether rapid capacity additions can translate into durable demand and sustainable project returns.

Our high-level takeaway is that energy storage is being repositioned from a supporting asset for renewable integration to critical infrastructure for the modern power system, a framing articulated by CATL Chairman Robin Zeng. Globally, this transition is still at an early stage. The need for flexibility is increasingly visible, but in many markets the revenue models, market mechanisms and technical standards required to support bankable projects have yet to mature. The next stage of growth will therefore depend not only on installation volumes but also on where storage is deployed, how it is compensated and how effectively it supports the wider power system.

The discussions in Ningde also reinforced our view that CATL's transition toward becoming an energy-solutions provider remains under-appreciated by the market (see our note here and here). CATL appears well positioned to capture value as ESS competition shifts from cell cost and deployment scale toward application fit, system integration, lifecycle performance and downstream operating capability. Its dual-chemistry roadmap, broader ecosystem buildout and forward integration into end markets such as zero-carbon factories and AI data centers should support this transition. In the near term, the framework for assessing ESS demand may need to move beyond static assumptions on installation growth or peak-valley spreads, as project economics become more dynamic with increasingly diversified revenue models.

Key Data

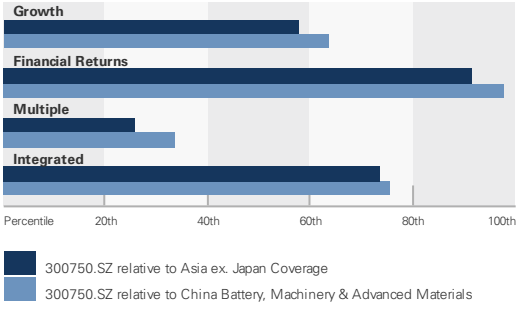
Market cap: Rmb1.2tr / $185.4bn
Enterprise value: Rmb987.0bn / $147.7bn
3m ADTV: Rmb10.7bn / $1.6bn
China
China Battery, Machinery & Advanced Materials
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn)	423,701.8	620,585.8	726,157.9	804,838.5
EBITDA (Rmb mn)	100,832.9	137,525.8	170,494.3	200,224.0
EPS (Rmb)	16.04	19.83	24.25	28.60
P/E (X)	18.5	13.1	10.7	9.1
P/B (X)	4.0	3.0	2.6	2.3
Dividend yield (%)	2.7	4.3	4.7	5.5
N debt/EBITDA (ex lease,X)	(2.1)	(2.1)	(2.2)	(2.4)
CROCI (%)	37.4	33.0	37.9	41.4
FCF yield (%)	6.6	6.5	10.2	12.4

	3/26	6/26	9/26E	12/26E
EPS (Rmb)	4.40	4.79	5.11	5.53

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY CL

CATL (300750.SZ)

Rating since Jul 9, 2026

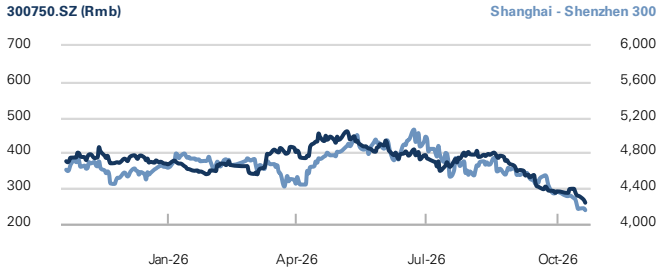
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	18.5	13.1	10.7	9.1
P/B (X)	4.0	3.0	2.6	2.3
FCF yield (%)	6.6	6.5	10.2	12.4
EV/EBITDAR (X)	11.4	7.0	5.3	4.1
EV/EBITDA (excl. leases) (X)	11.4	7.0	5.3	4.1
CROCI (%)	37.4	33.0	37.9	41.4
ROE (%)	24.7	24.8	26.1	27.0
Net debt/equity (%)	(58.4)	(64.2)	(72.2)	(80.5)
Net debt/equity (excl. leases) (%)	(58.4)	(64.2)	(72.2)	(80.5)
Interest cover (X)	27.2	41.1	44.2	48.3
Days inventory outst, sales	66.5	56.1	50.4	49.5
Receivable days	102.8	85.6	90.2	85.4
Days payable outstanding	269.9	237.7	251.3	258.3
DuPont ROE (%)	19.5	20.5	22.2	22.7
Turnover (X)	0.4	0.5	0.5	0.6
Leverage (X)	2.6	2.5	2.5	2.4
Gross cash invested (ex cash) (Rmb)	304,411.4	350,163.8	377,301.6	400,550.5
Average capital employed (Rmb)	130,023.9	158,781.6	154,247.7	131,149.7
BVPS (Rmb)	73.87	86.81	98.93	113.24

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	17.0	46.5	17.0	10.8
EBITDA growth	26.0	36.4	24.0	17.4
EPS growth	39.0	23.6	22.3	18.0
DPS growth	37.3	40.6	9.0	18.0
EBIT margin	17.5	16.5	17.4	18.6
EBITDA margin	23.8	22.2	23.5	24.9
Net income margin	17.0	15.0	16.0	17.0

Price Performance



	3m	6m	12m
Absolute	(31.2)%	(40.1)%	(29.3)%
Rel. to the Shanghai - Shenzhen 300	(23.8)%	(31.4)%	(22.7)%

Source: FactSet. Price as of 20 Oct 2026 close.

Income Statement (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	423,701.8	620,585.8	726,157.9	804,838.5
Cost of goods sold	(312,383.3)	(468,488.1)	(543,744.0)	(595,461.4)
SG&A	(15,401.9)	(19,238.2)	(21,058.6)	(22,535.5)
R&D	(22,146.6)	(27,926.4)	(32,314.0)	(35,412.9)
Other operating inc./(exp.)	463.5	(2,494.1)	(2,430.8)	(2,019.4)
EBITDA	**100,832.9**	**137,525.8**	**170,494.3**	**200,224.0**
Depreciation & amortization	(26,599.3)	(35,086.6)	(43,883.7)	(50,814.6)
EBIT	**74,233.6**	**102,439.1**	**126,610.6**	**149,409.4**
Net interest inc./(exp.)	7,860.6	7,514.2	9,320.2	12,135.4
Income/(loss) from associates	7,353.1	11,193.2	10,942.6	11,692.9
Pre-tax profit	**89,526.6**	**118,143.5**	**146,670.2**	**173,034.6**
Provision for taxes	(12,740.2)	(17,721.5)	(22,000.5)	(25,955.2)
Minority interest	(4,585.0)	(7,029.5)	(8,726.9)	(10,295.6)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**72,201.3**	**93,392.4**	**115,942.8**	**136,783.9**
Post-tax exceptionals	(7,693.4)	(8,713.0)	(10,195.3)	(11,299.9)
Net inc. (post-exceptionals)	**64,507.9**	**84,679.4**	**105,747.5**	**125,483.9**
EPS (basic, pre-except) (Rmb)	**16.04**	**19.83**	**24.25**	**28.60**
EPS (diluted, pre-except) (Rmb)	**16.04**	**19.83**	**24.25**	**28.60**
EPS (basic, post-except) (Rmb)	**14.33**	**17.98**	**22.11**	**26.24**
EPS (diluted, post-except) (Rmb)	**14.33**	**17.98**	**22.11**	**26.24**
DPS (Rmb)	7.91	11.12	12.12	14.30
Div. payout ratio (%)	49.3	56.1	50.0	50.0

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	333,512.9	406,124.4	507,654.4	625,124.8
Accounts receivable	120,988.6	170,023.5	189,000.0	187,428.1
Inventory	94,526.2	96,264.7	104,279.7	114,198.1
Other current assets	89,453.8	90,054.1	92,946.4	95,102.1
Total current assets	**638,481.5**	**762,466.6**	**893,880.6**	**1,021,853.1**
Net PP&E	176,133.7	225,459.6	245,982.1	245,041.8
Net intangibles	16,101.2	17,055.0	17,971.9	18,851.9
Total investments	81,181.2	92,974.4	104,517.0	116,809.9
Other long-term assets	62,929.9	61,097.7	59,942.2	59,213.5
Total assets	**974,827.6**	**1,159,053.3**	**1,322,293.7**	**1,461,770.1**
Accounts payable	263,606.0	346,552.8	402,221.6	440,478.3
Short-term debt	35,173.0	13,073.5	14,516.1	15,314.5
Short-term lease liabilities	–	–	–	–
Other current liabilities	100,847.0	120,680.9	144,623.9	156,667.7
Total current liabilities	**399,626.0**	**480,307.2**	**561,361.6**	**612,460.5**
Long-term debt	81,678.4	100,161.4	115,645.3	125,330.8
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	122,496.9	122,496.9	122,496.9	122,496.9
Total long-term liabilities	**204,175.2**	**222,658.3**	**238,142.2**	**247,827.6**
Total liabilities	**603,801.2**	**702,965.5**	**799,503.8**	**860,288.1**
Preferred shares	–	–	–	–
Total common equity	337,107.8	415,139.7	473,114.9	541,511.4
Minority interest	**33,918.6**	**40,948.1**	**49,675.0**	**59,970.6**
Total liabilities & equity	**974,827.5**	**1,159,053.3**	**1,322,293.7**	**1,461,770.1**
Net debt, adjusted	(216,661.5)	(292,889.4)	(377,493.0)	(484,479.5)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	76,786.3	100,422.0	124,669.7	147,079.4
D&A add-back	26,599.3	35,086.6	43,883.7	50,814.6
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	27,374.6	51,407.1	49,727.9	39,798.3
Other operating cash flow	2,459.8	(20,995.5)	(22,923.2)	(26,719.5)
Cash flow from operations	**133,220.0**	**165,920.2**	**195,358.1**	**210,972.9**
Capital expenditures	(42,344.6)	(83,534.1)	(64,167.6)	(50,025.6)
Acquisitions	(2,053.7)	–	–	–
Divestitures	27.4	–	–	–
Others	(50,105.0)	9,405.4	11,583.7	14,629.6
Cash flow from investing	**(94,475.8)**	**(74,128.7)**	**(52,583.9)**	**(35,395.9)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(34,923.0)	(53,181.4)	(57,967.5)	(68,387.4)
Inc/(dec) in debt	(11,912.0)	(173.0)	16,926.5	10,483.9
Other financing cash flows	38,091.7	34,174.3	(203.1)	(203.1)
Cash flow from financing	**(8,743.3)**	**(19,180.1)**	**(41,244.1)**	**(58,106.6)**
Total cash flow	**30,000.9**	**72,611.4**	**101,530.1**	**117,470.3**
Free cash flow	90,875.4	82,386.1	131,190.5	160,947.3

Source: Company data, Goldman Sachs Research estimates.

We summarize below our top five takeaways from the conference.

1. **Global ESS demand is broadening:** overseas markets overtook China in 1H26, as renewable integration, energy-security concerns and power-system resilience increasingly reinforce one another. The underlying need is common — greater flexibility — but monetization is becoming more local and market-specific.
2. **The demand envelope is expanding through Storage+ use cases,** including zero-carbon factories, industrial microgrids, transport electrification and AI data centers, with requirements ranging from millisecond power smoothing to multi-hour energy shifting.
3. **The policy direction under China's 15th Five-Year Plan points to a shift from scale-led deployment to higher-quality growth, with new energy storage now explicitly included among emerging pillar industries:** storage is moving from mandate-driven capacity additions toward market-based revenue generation as standalone assets, with project returns increasingly determined by province-specific revenue stacks, trading access, capacity payments, ancillary services and system charges.
4. **Sodium-ion looks more like a targeted complement to LFP than a broad replacement,** with the strongest fit in cold-climate, high-power and safety-sensitive applications; strategically, it also adds a second chemistry route that reduces reliance on lithium resources.
5. **CATL is positioning itself less as a pure battery supplier and more as an energy-storage platform,** as competition increasingly shifts toward application fit, system design, validation and lifecycle performance.

Global ESS: Structural growth, increasingly local economics

High-level Summary

Across markets, the basic driver for storage is the same: higher renewable penetration creates a greater need for flexibility, whether to shift energy across the day, manage ramps, stabilize the grid or maintain reliability. The economics, however, are far from uniform. Revenue models, duration requirements, localization rules, grid needs and compliance standards vary meaningfully by country, so local market design now matters almost as much as battery cost.

Global deployment and the evolving business model (BloombergNEF)

- Annual global storage additions have already reached 112GW/307GWh, supported by a decline of more than 90% in average battery-storage costs since 2010.
- Storage is also closing the gap with solar: the solar-to-storage capacity ratio has narrowed from roughly 56:1 in 2016 to about 4:1, underscoring how quickly batteries are becoming an integral part of the renewable buildout.
- The key business-model shift is from single-service batteries to assets that stack multiple revenue streams. Arbitrage alone is increasingly unlikely to be sufficient; capacity payments, tolling contracts and grid services will need to contribute a larger share of returns.
- For investors, lower equipment costs help, but they are only part of the story: bankability increasingly rests on market rules, operating flexibility and confidence in long-term performance.

Europe (Green Flexibility)

- Europe remains one of the more clearly defined markets for long-duration storage: utility-scale BESS capacity was projected to reach 84GW by 2030 and 160GW by 2050, with Germany expected to account for more than a quarter of deployment.
- Technical requirements are also becoming more demanding, with four-hour duration, grid-forming capability, fast frequency response, synthetic inertia and black-start capability all gaining importance.
- At the same time, financing considerations are extending beyond the battery itself, with cybersecurity, NIS 2 compliance, data governance and supply-chain resilience increasingly factored into market access.

Latin America (ACERA)

- Chile illustrates what happens when renewable capacity grows faster than power demand: the country has around 21GW of renewable capacity, while demand growth was cited at only about 0.4% p.a.
- This makes the role of storage clear: shifting daytime solar into the evening, managing steeper ramps and providing services previously supplied by thermal plants.
- The near-term pipeline is sizable, with roughly 10GW targeted for commissioning by

late 2027 and a further 28GW under study or permitting.

Mexico (Energy Committee, Chamber of Deputies of Mexico)

- Mexico is more policy-driven: new renewable projects were cited as requiring storage equivalent to at least 30% of generation capacity, with a minimum duration of three hours.
- The physical need is evident given transmission congestion and renewable curtailment, but standalone economics still depend on clearer capacity payments and ancillary-service compensation.

Africa (AMEU)

- In South Africa, storage demand is anchored in concrete, near-term needs: reliability, time-of-use tariffs, CBAM-related decarbonization pressure and data-center load growth all point in the same direction.
- Storage targets were cited at 3.7GW by 2026–27 and 9.5GW by 2042. Local assembly, partnerships, technical support and O&M are becoming prerequisites for market access rather than optional extras.
- Where grids are weaker, the value proposition extends well beyond arbitrage to include voltage support, frequency stability and diesel replacement.

Ember: storage as the enabler of the next leg of solar

- As solar penetration rises, the familiar pattern of midday oversupply and evening shortage becomes harder to manage. Without dedicated storage, technical and economic stress tends to become more pronounced at around 30% penetration.
- As a result, storage increasingly determines how much additional solar a system can absorb economically, shifting from an optional add-on to a precondition for the next leg of renewable growth.

"Storage+" opens the next layer of demand

High-level Summary

Storage+ is an emerging concept that reframes storage as an embedded layer within power systems, industrial sites, computing infrastructure and transport, rather than as a standalone battery project. For zero-carbon factories, storage can raise the share of physically consumed renewable power and help manage electricity costs. For AI infrastructure, requirements are more complex, spanning timescales from milliseconds to hours. These use cases push storage beyond the power sector and into the broader architecture of electricity consumption.

From storage to Storage+

- Discussed alongside IRENA concepts, the Storage+ framework positions storage as connective infrastructure linking power, industry, computing and transport.
- Scaling this model depends on standardization, interoperability and appropriate

pricing of flexibility; otherwise, each project risks becoming a one-off integration exercise.

- This also changes the basis of competition: the same battery specification can create very different value in a renewable plant, an industrial park or a data center, making application fit and lifecycle economics more important.

Zero-carbon factories: embedded industrial infrastructure

- Policy speakers discussed a national goal of building 500 benchmark zero-carbon factories during the 15th Five-Year Plan period.
- Storage is relevant here because zero-carbon manufacturing increasingly requires physical consumption of renewable electricity, not just green certificates. Batteries shift surplus generation across time and raise the achievable share of green power.
- The value pool is also broader than peak-valley arbitrage, spanning demand-charge reduction, demand response, VPP services and potentially carbon-value realization.
- The investment implication is that zero-carbon factory deployment at scale could bring storage into industrial capex budgets, not just power-sector capex.

AI data centers: a fundamentally different storage workload

- Large AI facilities are moving toward loads of hundreds of megawatts, potentially reaching gigawatt scale. Training workloads add further complexity, as power demand can fluctuate at the millisecond level.
- At rack level, BBUs, supercapacitors or other high-rate technologies are used to smooth millisecond GPU-load fluctuations.
- At room or building level, the priority is different: high-reliability batteries need to protect power quality and provide seamless backup.
- At campus or grid level, large-scale storage can support renewable integration, peak shaving, demand response and market trading.
- Deferrable workloads can be shifted to periods of abundant renewable supply or lower power prices, but real-time applications still require continuous power and fast-response storage.

Commercialization bottlenecks

- One practical bottleneck is that computing infrastructure and storage EMS/BMS are not yet fully integrated.
- Testing and safety standards are also still catching up, especially for high-rate applications that need millisecond-level response.
- Near-term adoption is likely to remain project-specific, but this complexity should favor suppliers able to integrate cells, controls, power electronics and energy management.

China ESS: Returns now hinge on market reform

High-level Summary

China's policy backdrop for storage remains supportive, but the more important shift is qualitative. The industry is moving away from purely mandated deployment toward market-based participation as standalone assets, differentiated technologies, higher safety requirements and more sustainable operation. The main unresolved issue remains monetization: provincial revenue structures are fragmented, arbitrage spreads are under pressure, and storage still needs clearer compensation for the flexibility services it provides.

Industry scale and the 2030 direction

- CNESA pointed to a 2030 target of more than 300GW of cumulative new energy storage, including an additional 80GW of four-hour storage for peak support.
- The direction of travel is toward storage operating as a standalone market participant, rather than as an add-on attached to renewable projects to meet mandates.
- The intended end-state is a bankable asset that earns revenue from peak shaving, frequency regulation, capacity support and power-market participation.

Market mechanisms remain the central constraint

- In many provinces, pure energy-market revenue has fallen below 30% as spot spreads narrow and older fixed revenue-sharing models are phased out.
- Capacity compensation is increasing but remains fragmented by province, and system-operation charges can materially erode project cash flow.
- Provincial differences are significant: Gansu combines spot trading, frequency regulation and capacity revenue; Shanxi offers relatively open access to spot and frequency-regulation markets; Yunnan still relies heavily on regulating-capacity revenue.
- As a result, project underwriting needs to start with the province-specific revenue stack rather than a headline assumption on peak-valley spreads.

MIIT / 15th Five-Year Plan: scale with quality

- Policy priorities are clearly moving toward safety, long-duration storage, demand-led demonstration projects and a more international ecosystem for technology, services and standards.
- The same framework also points to tighter integration with computing networks and energy-intensive industrial use cases.
- The message is not simply to build more storage, but to build better storage, deploy it in the right applications and compensate it for the system services it provides.

National New Energy Storage Innovation Center: applications pull technology forward

- The Center's approach was framed around a simple idea: the use case should define

the technology, with major applications acting as the bridge from R&D to engineering validation and finally to scale.

- Its National Games project replaced conventional diesel backup with high-reliability grid supply plus online storage, bringing together grid-forming capability, thermal-runaway protection, EMS and intelligent O&M.
- Stronger standards should help prevent low-quality products from shifting safety risks into the operating phase, while improving the ability of higher-quality systems to command a premium.

Sodium-ion: Differentiated complement to LFP

High-level Summary

The tone of the sodium-ion discussion was pragmatic. The message was not that sodium-ion will replace LFP across the board; rather, its best fit is likely to be in applications where wide-temperature performance, high-rate response and safety matter more than energy density. Commercialization is progressing from standards and demonstration projects toward GWh-scale delivery, with 2027–28 shaping up as a potential scaling inflection point rather than the start of an immediate substitution cycle.

Strategic role and advantages

- On resource security, sodium-ion offers a second electrochemical route and reduces dependence on more concentrated lithium resources.
- On manufacturing, sodium-ion can reuse a meaningful share of existing lithium-ion equipment and process know-how as volumes scale.
- Its wide-temperature performance is the most evident application advantage, especially in cold regions, high-altitude telecom sites and other harsh environments.
- High-rate capability is another key differentiator for the chemistry. Faster charge and discharge, with relatively modest heat generation, could make it useful for AIDC backup and other power-intensive applications.
- Industry data also pointed to long cycle life and strong safety performance, with 8,000–15,000+ cycles cited depending on chemistry and operating conditions.

Limitations that define the application boundary

- Energy density remains the main constraint: current commercial cells were cited mostly in the 100–120Wh/kg range, with engineering potential of 140–160Wh/kg.
- Scale economics have yet to fully materialize. Costs should improve with better materials and higher production volumes, but sodium-ion remains earlier on its commercialization curve than LFP.
- System design also needs to be purpose-built: the wider, more sloped voltage curve requires sodium-specific PCS and BOS design, and simply placing sodium-ion cells into systems designed for lithium-ion would sacrifice efficiency.

Technology routes

- Polyanionic compounds look best suited to stationary storage because of their structural stability, intrinsic safety and long cycle life, although conductivity and compaction density still require improvement.
- Layered oxides offer higher energy density and fit more easily with existing manufacturing, but weaker high-temperature cycling makes them less compelling for large-scale ESS.
- Prussian blue/white offers theoretical advantages in cost and rate performance, but crystallization-water control and scalable manufacturing remain unresolved.

Most compelling applications

- Stationary ESS is the clearest fit where longevity, safety and temperature tolerance matter more than compactness.
- Cold-climate telecom and off-grid base stations are another logical use case, especially where auxiliary heating would otherwise reduce system efficiency.
- AIDC and industrial high-power backup also play to sodium-ion's strengths, given the need for rapid discharge and limited temperature rise.
- There may also be opportunities in two-wheelers, start-stop systems and selected mobility applications, where cold-weather performance and fast charging matter more than maximum range.

CATL's sodium-ion roadmap

- CATL is separating storage-focused sodium-ion generations, where very long cycle life is the priority, from mobility-focused versions that need a different balance between life and energy density.
- Its dedicated 316Ah storage cell was presented with a cycle life of more than 15,000 cycles at room temperature, an operating temperature range of -40°C to 60°C and a 3.0MWh system, with GWh-scale delivery starting in 2026.

CATL: From battery leader to energy-storage ecosystem platform

High-level Summary

Our key company-specific takeaway is the breadth of CATL's capability buildout. Its capabilities span multiple battery chemistries, system integration, PCS and controls, full-station testing, AI-enabled energy management, renewable project development, microgrids, operations and recycling. Strategically, CATL appears to be positioning itself to capture a greater share of value across the storage asset lifecycle, rather than remaining primarily a cell supplier.

Infrastructure requires system-level capability

- CATL Chairman Robin Zeng described storage as evolving from a renewable add-on into essential infrastructure.

- The company highlighted three capabilities that are critical in this context: full-station solutions, a technology base capable of meeting diverse operating requirements, and system-level validation.
- If storage is to function as infrastructure, the relevant metrics extend beyond cell cost: grid support, response speed, lifetime reliability and asset availability become equally important.

Technology breadth: lithium and sodium as complementary platforms

- CATL continues to advance lithium-ion technology while commercializing sodium-ion for applications where extreme temperatures, high-rate response or long life are the priority.
- This multi-chemistry approach allows the company to match technology to each application, rather than relying on a single platform for all use cases.

Full-station validation as a potential competitive moat

- CATL is integrating cells, power electronics, intelligent controls and operations into full-system solutions, rather than treating them as discrete components.
- The company also cited more than RMB3bn of investment in its Xiamen validation institute, where 32 projects totaling over 15GWh have undergone systematic validation.
- This validation capability becomes increasingly valuable as storage evolves into long-life infrastructure, since component-level testing alone cannot capture how batteries, PCS, thermal systems and grid controls interact under stress.

Contemporary Green Energy (CGE) extends the opportunity into energy systems

- CGE, a wholly owned subsidiary of CATL, was cited as having a portfolio of more than 1GW of C&I solar-plus-storage and more than 3.5GW of large-scale wind, solar and storage assets.
- Its operating model extends beyond simple peak-valley arbitrage, combining load forecasting, AI dispatch, dynamic pricing, VPP participation and renewable direct supply.
- The strategic value is the operating feedback loop: learning how storage assets actually create value after installation, then using that insight to improve system design and customer propositions.

Compute-power coordination is an early but strategic adjacency

- CATL is also expanding into data-center power through renewable supply, campus microgrids and coordinated energy-management architectures.
- Five-minute dispatch and granular load forecasting have already been deployed in industrial projects, while investments, M&A and partnerships are broadening the company's presence across the data-center power value chain.
- AI infrastructure places greater emphasis on reliability, power quality, high-rate performance and system integration, areas where engineering depth may outweigh

the lowest upfront battery price.

Moving toward lifecycle participation

- The ecosystem now spans resources and materials, cells, systems, project operations and recycling, with digital-energy capabilities extending CATL's presence further downstream.
- We believe the next ESS value pool is unlikely to be captured through cell manufacturing alone. CATL's capability buildout appears increasingly aligned with application-specific and system-level competition, which supports a constructive medium- to long-term view of its storage franchise.

Investment Thesis, Price Target Risks and Methodology

Investment Thesis - CATL

CATL is the world's largest battery manufacturer, underpinned by leading scale, battery technology, and cost competitiveness. Its EV battery business remains a solid earnings anchor, supported by structurally expanding demand and a more resilient market-share trajectory following its recent share recovery. More importantly, CATL's transition from cells to integrated energy solutions, supported by its battery expertise and strategic ecosystem build-out, should drive the next phase of value creation, as battery energy storage systems (BESS) integration enables share consolidation, higher project value capture, recurring service revenue, stronger margins, and a potential valuation re-rating. We are Buy rated on the H/A share.

Price Target Risks and Methodology - CATL

Valuation methodology: We apply a sum-of-the-parts framework to reflect CATL's distinct power battery and BESS growth profiles, BESS-led rerating potential, and ecosystem investments. For CATL-A, we value power batteries at 11x 2027E EBITDA and BESS using a discounted 2030E EV/EBITDA approach with a 16x exit multiple (discounted at 9.5%). For CATL-H, we use a global framework, valuing power batteries at 18x 2030E EV/EBITDA and BESS at a 20x 2030E exit multiple, reflecting CATL's superior ROIC, global leadership, and scarcity value. This yields 12-month TPs of HK$859.0/Rmb559.0 and implies a 41% H-share premium versus A-share.

Key risks: 1) slower-than-expected global EV demand growth; 2) weaker-than-expected global ESS demand growth; 3) an unexpected rise in raw material costs, mainly battery metals; 4) slower-than-expected progress in BESS integration; 5) execution and trade-policy risks in overseas expansion; 6) more intense-than-expected competition in power and ESS batteries.

Disclosure Appendix

Reg AC

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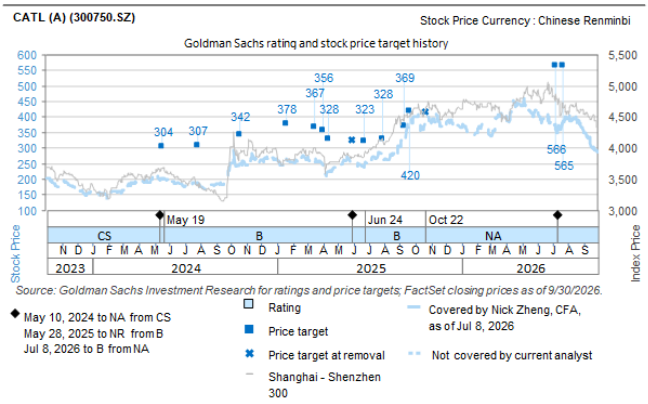
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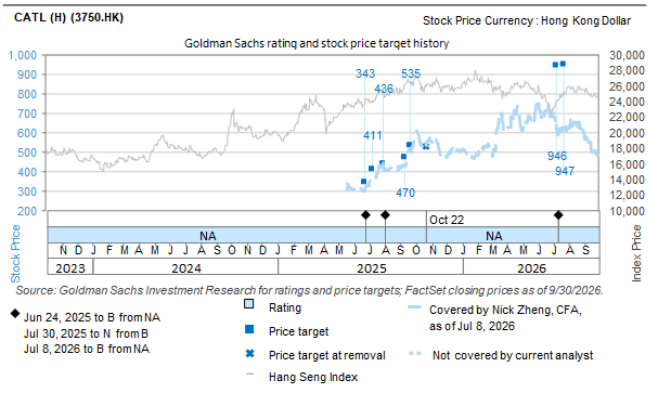
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Target price history table(s)

CATL (A) (300750.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
11-Oct-26	559.00	297.75
24-Jul-26	565.00	383.01
08-Jul-26	566.00	361.00
21-Sep-25	420.00	368.49
11-Sep-25	369.00	322.55
30-Jul-25	328.00	277.09
24-Jun-25	323.00	245.92
14-Apr-25	328.00	224.00
04-Apr-25	356.00	243.08
16-Mar-25	367.00	262.00
19-Jan-25	378.00	251.50
20-Oct-24	342.00	249.89
28-Jul-24	307.00	189.35
19-May-24	304.00	203.00

CATL (H) (3750.HK)

Date of report	Target price (HK$)	Closing price (HK$)
11-Oct-26	859.00	491.40
24-Jul-26	947.00	622.00
08-Jul-26	946.00	628.00
21-Sep-25	535.00	515.50
11-Sep-25	470.00	428.80
30-Jul-25	436.00	426.60
09-Jul-25	411.00	385.00
24-Jun-25	343.00	303.00

Price targets shown in table(s) are unadjusted for corporate actions.

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